

Task 3 - Analysis of employee's wealth

Response submission

Wealth Discrepancy Analysis: Employee Under Investigation – Head of Procurement	
Category	Red flag(s) identified:
1. Living beyond means	- Total family income (1.8MM/yr.) does not align with high-value asset acquisitions. - Monthly tuition of \$40,000 and luxury real estate purchases are unsustainable given declared income.
2. Sudden acquisition of expensive items	- Country house values at 7.8M acquired last year - City apartment valued 12.4M purchased 2 months ago. - Four fixed deposits of 200,000 each established last year.
3. Inconsistencies in financial records	- Rental income of 45,000 not reflected in income breakdown. - Lack of clear source of funds for recent property purchases.
4. Unusual financial transactions	- Property registered under spouse's name shortly after major contract approval. - Fixed deposits placed in names of spouse and children, possibly to mask ownership.
5. Complex financial arrangements	- Use of multiple family member accounts for asset distribution. - Structuring of asset ownership suggests concealment intent.
6. History of ethical violations	- Employee approved 4.5B in contracts while accumulating unexplained wealth. - Allegations from whistleblower suggest kickbacks or favoritism.
7. Resistance to providing information	- No voluntary declaration of large purchases or rental income. - Social media and public records had to be used to uncover lifestyle indicators.
• Summary of findings: The employee's declared a salary, combined with their spouse's income, is not sufficient to justify the acquisition of high-value real estate, fixed deposits, and ongoing tuition expenses. Asset ownership and rental income are structured in a way that suggests possible concealment. Timing of acquisitions correlates with the employee's role in awarding large supplier contracts. These discrepancies indicate potential illicit financial gain.	
• Recommended next steps: - Request full banking and property transaction records for employee, including any assets registered under their name or for which they are the primary financial contributor. - Conduct a forensic review of procurement contracts and related vendor transactions authorized by the employee. - Review public records and ownership registries to identify assets registered in the names of immediate family members that may be linked to the employee's financial activity. - Use data analytics to trace payment patterns, potential links between favored suppliers and the employee, and any fund transfers involving related parties. - Refer findings to internal audit and legal teams for further escalation, including possible referral to external counsel or regulators if warranted.	
• Natascha Martin • Forensic Analyst	